

CENTRAL BOARD OF SECONDARY EDUCATION — PRACTICE EXAMINATION**CLASS IX • SOCIAL SCIENCE (SUBJECT CODE: 087) • ACADEMIC SESSION 2026-27****SET C — NCERT EXEMPLAR, IN-TEXT SOURCES & TRICKY QUESTIONS****CHAPTER 09: THE PRICE PUZZLE: WHAT DRIVES THE MARKET**

TIME ALLOWED: 45 MINUTES

MAXIMUM MARKS: 25 MARKS

SERIES: CBS-IX-SST-SET-C-09

Student's Name: _____

Roll No.: _____

Class & Section: Class IX - _____

Date of Exam: _____

Invigilator's Sign: _____

General Instructions (SET C - NCERT Exemplar & Tricky Questions):

1. The question paper comprises **25 NCERT Exemplar & Critical Application Questions** of **1 mark each**.
2. Tests **in-text source boxes, fine glossary definitions, historical source extracts, and tricky boundary cases**.
3. All questions are compulsory. There is no negative marking for incorrect answers.
4. Darken the corresponding bubble on the **OMR Sheet** completely using a blue/black ballpoint pen.

**NCERT IN-TEXT & EXEMPLAR TIER:** Questions in this set explore subtle details, specialized definitions, and non-intuitive concepts drawn directly from official NCERT text margins, source boxes, and glossary entries.**Q.1 What is a 'Giffen Good' in advanced consumer demand theory, and why does it represent a theoretical exception to the Law of Demand?**

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|---|---|
| (A) An extreme inferior staple food (like potatoes during a famine) where the negative income effect of a price rise overwhelms the substitution effect, causing quantity demanded to rise as price rises | (B) A luxury diamond watch purchased exclusively by royal kings |
| (C) A good that has a price of zero and is given away free in parks | (D) A good that cannot be eaten or used by human beings |

Q.2 What is the graphical shape of a demand curve that exhibits 'Unitary Price Elasticity' ($|E_d| = 1$) at every single point along the curve?

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| (A) A Rectangular Hyperbola (where total expenditure $P \times Q$ remains constant across all price levels) | (B) A perfectly straight diagonal line passing through the origin |
| (C) A completely vertical straight line parallel to the price axis | (D) A completely horizontal straight line parallel to the quantity axis |

Q.3 What is the operational function of the 'Open Market Sale Scheme' (OMSS) conducted by the Food Corporation of India (FCI)?

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| (A) FCI releases surplus wheat and rice from central buffer stocks into the open commercial market via e-auctions to temper market prices during domestic supply shortages and curb food inflation | (B) FCI sells all government offices to private commercial banks |
| (C) FCI burns unsold food grains to keep supermarket prices high | (D) FCI exports food grains exclusively to the South Pole |

Q.4 What does a cross-price elasticity of demand (E_{xy}) that is NEGATIVE between two goods X and Y signify?

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| (A) Goods X and Y are Complementary Goods (a rise in the price of Y causes a decline in the demand for X) | (B) Goods X and Y are Substitute Goods |
| (C) Goods X and Y are completely unrelated and never sold in the same city | (D) Goods X and Y are manufactured by the same government minister |

Q.5 What is 'Price Discrimination' practiced by a monopoly firm?

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| (A) Charging different prices to different consumer segments for the exact same good or service based on differing price elasticities (e.g., student discounts on airline flights) | (B) Selling goods only to people who have university degrees |
| (C) Changing the color of product packaging every single day | (D) Selling goods exclusively in exchange for gold bullion |

Q.6 If the government imposes a specific per-unit excise tax of ₹10 on a manufacturer of soft drinks, how is the actual tax burden (incidence) shared between the producer and the consumer?

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| (A) The tax incidence depends on the relative price elasticities of demand and supply: the more inelastic party bears the larger economic burden of the tax | (B) The consumer always pays 100% of the tax by mathematical law |
| (C) The producer always pays 100% of the tax by international decree | (D) The tax disappears and is paid by the United Nations |

Q.7 What is the 'Price Stabilization Fund' (PSF) established by the Government of India for horticultural crops?

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| (A) A corpus fund used to procure pulses and onions during bumper harvest market crashes and release them during lean seasons to calibrate market price spikes and protect both farmers and consumers | (B) A fund used to pay the salaries of private supermarket cashiers |
| (C) A bank account where gold coins are stored for display | (D) A subsidy paid to foreign airlines operating luxury tourist flights |

Q.8 Why is the short-run market supply curve of agricultural crops (like fresh tomatoes or strawberries) highly price-INELASTIC?

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| (A) Tomatoes are perishable goods with a fixed harvest supply that cannot be rapidly expanded or stored indefinitely in response to sudden price increases | (B) Tomatoes can be manufactured instantaneously inside chemical factories |
| (C) Farmers refuse to sell tomatoes for money | (D) Tomatoes last for fifty years without spoiling |

Q.9 What constitutes an 'Oligopoly' market structure (like the Indian commercial telecommunications or civil aviation sectors)?

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| (A) A market dominated by a small number of large interdependent firms whose pricing and output decisions actively anticipate and react to rivals' strategic moves | (B) Millions of tiny roadside vegetable stalls trading identical onions |
| (C) A single government enterprise that operates 100% of all services | (D) A market where prices are negotiated exclusively through physical arm-wrestling |

Q.10 What is the economic concept of 'Arbitrage' in national and international commodity trade?

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| (A) The simultaneous purchase and sale of a commodity in different regional markets to exploit and profit from price differentials, which naturally equalizes prices across regions | (B) The physical destruction of surplus grain in government warehouses |
| (C) A legal dispute settled by a municipal judge in district court | (D) A tax levied on foreign cargo ships arriving at seaports |

Q.11 Why does a competitive market failure occur in the presence of 'Public Goods' (like national defense, lighthouses, or street lighting)?

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| <p>(A) Public goods are non-excludable (cannot stop non-payers from benefiting) and non-rivalrous (one person's use does not diminish another's), leading to the 'Free-Rider Problem' where private markets fail to supply them</p> | <p>(B) Public goods are illegal under corporate commercial banking laws</p> |
| <p>(C) Public goods can only be manufactured by foreign space agencies</p> | <p>(D) Public goods destroy all private industrial factory machinery</p> |

Q.12 What is 'Asymmetric Information' in economics, and what market failure does it produce in the used-car market (George Akerlof's 'Market for Lemons')?

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| <p>(A) When sellers know the true mechanical defects of a car but buyers do not, adverse selection drives good cars out of the market, leaving only low-quality 'lemons' and crashing the market</p> | <p>(B) When cars are manufactured out of yellow lemon fruits</p> |
| <p>(C) When buyers and sellers have identical mathematical knowledge of all cars</p> | <p>(D) When used cars are distributed for free to all citizens</p> |

Q.13 What is the primary objective of the 'Competition Act, 2002' and the Competition Commission of India (CCI)?

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|---|---|
| <p>(A) To prevent anti-competitive agreements, prohibit abuse of dominant market position, regulate corporate mergers, and sustain fair freedom of trade in Indian markets</p> | <p>(B) To force all private businesses into mandatory bankruptcy</p> |
| <p>(C) To fix the retail prices of all manufactured goods by decree</p> | <p>(D) To organize sports running races for corporate executives</p> |

Q.14 How does the 'Cobweb Theorem' explain recurring cyclical price fluctuations in agricultural crops like onions and potatoes?

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| <p>(A) Farmers base planting decisions on current high prices, leading to an oversupply glut and price collapse next harvest, which prompts underplanting and shortages in the subsequent season</p> | <p>(B) Spider webs physically trap agricultural crops in storage barns</p> |
| <p>(C) Crop prices are dictated by planetary astrological horoscopes</p> | <p>(D) Agricultural crop prices are fixed permanently by international treaties</p> |

Q.15 What is 'Monopsony' in agricultural procurement markets?

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| <p>(A) A market situation where there is only one dominant buyer (e.g., a single sugar mill in a district) facing many fragmented farmer sellers, enabling the buyer to depress purchase prices</p> | <p>(B) A market where there are millions of competing buyers and only one seller</p> |
| <p>(C) A market where goods are traded exclusively in exchange for gold coins</p> | <p>(D) A market where prices double every sixty seconds</p> |

Q.16 Why does a tax on land value (Henry George's Land Value Tax) generate ZERO deadweight loss in economic theory?

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| <p>(A) The physical supply of land is completely fixed and perfectly inelastic ($E_s = 0$); taxing it does not reduce the quantity of land available or distort production decisions</p> | <p>(B) Land dissolves into water whenever taxes are collected</p> |
| <p>(C) Land is manufactured inside industrial factories</p> | <p>(D) Taxes on land are prohibited under the laws of physics</p> |

Q.17 What is the 'Substitutes in Production' concept for a farmer who can grow either Soybean or Maize on the same field?

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| (A) If the market price of Soybean surges, the farmer shifts land to Soybean, causing the market supply of Maize to decrease (supply curve of Maize shifts left) | (B) The farmer grows both crops on floating clouds in the sky |
| (C) The price of Maize automatically drops to zero | (D) The farmer stops farming and opens a shoe factory |

Q.18 What is a 'Speculative Bubble' in asset markets (such as real estate or cryptocurrency)?

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| (A) A surge in asset prices driven by herd expectations of future price increases rather than intrinsic economic fundamentals, inevitably followed by a sharp crash when sentiment reverses | (B) A physical soap bubble blown by children in public parks |
| (C) A permanent 100% legal guarantee that prices will rise forever | (D) A government welfare scheme that provides free housing to all citizens |

Q.19 How does the 'Total Revenue Test' relate to the price elasticity of demand?

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| (A) If demand is elastic ($ E_d > 1$), a price cut increases total revenue ($\Delta P \times Q$); if demand is inelastic ($ E_d < 1$), a price cut decreases total revenue | (B) Total revenue is always identical regardless of price or quantity sold |
| (C) Price cuts always cause total revenue to drop to zero | (D) Total revenue is determined entirely by government tax inspectors |

Q.20 What is 'Menu Cost' in microeconomic pricing theory?

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| (A) The administrative, printing, and customer communication costs that firms incur when changing and updating their listed product prices | (B) The price of eating dinner at an expensive restaurant |
| (C) A government tax on restaurant menus | (D) The cost of printing paper banknotes in the central bank |

Q.21 Why does a black market naturally emerge when a government establishes an enforced Price Ceiling on a consumer staple during an economic crisis?

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| (A) The price ceiling creates unsatisfied excess demand, incentivizing consumers willing to pay higher prices to purchase hoarded supplies illicitly outside official rationing channels | (B) The government mandates that all citizens must trade only at night |
| (C) Black markets are legally established by municipal city councils | (D) Shopkeepers run out of daylight and must sell goods in darkness |

Q.22 What is 'Predatory Bidding' practiced in commodity auctions?

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|---|--|
| (A) A dominant buyer bids aggressively high prices to corner supplies and drive smaller rival processing firms into bankruptcy, consolidating downstream monopoly power | (B) Bidding by shouting loudly through electronic megaphones |
| (C) Bidding using fake counterfeit currency notes | (D) Bidding on wild jungle predators like tigers and bears |

Q.23 What does a vertical demand curve ($E_d = 0$) signify regarding consumer behavior?

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| (A) Perfect Inelasticity: consumers will purchase the exact same fixed quantity regardless of how high or low the price is set (e.g., life-saving emergency medicine) | (B) Consumers refuse to purchase any quantity at any price |
| (C) Consumers purchase infinite quantities whenever price rises | (D) The product can only be purchased on alternate Tuesdays |

Q.24 How does the 'Law of One Price' operate across integrated commodity markets when transportation costs are minimal?

- (A) Identical homogeneous goods must sell for the same price in different geographical locations because arbitrageurs eliminate any price differences through trade
- (B) The government mandates that every single product in the country costs exactly one rupee
- (C) All shops must display one single price tag for all goods
- (D) Prices are prevented from changing by military decree

Q.25 In summary, what is the ultimate economic purpose of market equilibrium in a free society?

- (A) It clears the market efficiently by equating quantity supplied with quantity demanded, coordinating millions of decentralized human choices without central command
- (B) It guarantees that every business owner becomes a billionaire
- (C) It forces all consumers to purchase identical uniform quantities of goods
- (D) It eliminates all forms of commerce and returns society to hunter-gatherer living

CBSE CANDIDATE OMR ANSWER RESPONSE GRID (SET C)

01	(A) (B) (C) (D)	02	(A) (B) (C) (D)	03	(A) (B) (C) (D)	04	(A) (B) (C) (D)	05	(A) (B) (C) (D)
06	(A) (B) (C) (D)	07	(A) (B) (C) (D)	08	(A) (B) (C) (D)	09	(A) (B) (C) (D)	10	(A) (B) (C) (D)
11	(A) (B) (C) (D)	12	(A) (B) (C) (D)	13	(A) (B) (C) (D)	14	(A) (B) (C) (D)	15	(A) (B) (C) (D)
16	(A) (B) (C) (D)	17	(A) (B) (C) (D)	18	(A) (B) (C) (D)	19	(A) (B) (C) (D)	20	(A) (B) (C) (D)
21	(A) (B) (C) (D)	22	(A) (B) (C) (D)	23	(A) (B) (C) (D)	24	(A) (B) (C) (D)	25	(A) (B) (C) (D)

Total Questions Attempted: ____ / 25

Marks Obtained: ____ / 25

Evaluator's Signature: _____

OFFICIAL ANSWER KEY & STEP-BY-STEP EXPLANATIONS (SET C)

Q. No.	Correct	Curricular Reference & In-Depth Conceptual Solution
Q.1	(A)	For a Giffen good, when the staple's price rises, poor consumers become so impoverished that they cut out expensive foods (meat) and buy *more* of the cheap staple to survive ($E_p > 0$).
Q.2	(A)	A rectangular hyperbola has the mathematical property $SP \times Q = \text{Constant}$; total consumer outlay remains unchanged when price changes, meaning elasticity equals 1 everywhere.
Q.3	(A)	OMSS regulates market volatility: selling state buffer stocks in wholesale spot auctions expands market supply, curbing speculative hoarding and food price spikes.
Q.4	(A)	$E_{xy} = \frac{\Delta Q_x}{\Delta P_y} < 0$. Complementary goods (printers and ink cartridges) move inversely: costlier ink suppresses printer sales.
Q.5	(A)	Price discrimination captures consumer surplus by segmenting markets: charging higher prices to inelastic buyers (business travelers) and lower prices to elastic buyers (students).
Q.6	(A)	Tax incidence formula: $\frac{\Delta P_c}{\Delta P_p} = \frac{E_s}{ E_d }$. Inelastic consumers bear the brunt because they cannot easily substitute away; elastic consumers force producers to absorb the tax.
Q.7	(A)	The PSF finances market intervention: procurement of perishable commodities (onions, pulses) during post-harvest price crashes and market release during lean shortages.
Q.8	(A)	Agricultural biological gestation periods and perishability mean short-run supply is nearly fixed ($E_s \approx 0$); farmers must sell harvest stock at prevailing prices regardless of market crashes.
Q.9	(A)	Oligopoly features strategic interdependence (kinked demand curves, game theory): a price cut by one telecom operator triggers retaliatory price wars from rival carriers.
Q.10	(A)	Arbitrageurs buy low in surplus regions and sell high in deficit regions; transport-adjusted arbitrage enforces the 'Law of One Price' across integrated national markets.
Q.11	(A)	Non-excludability breeds free-riding: since non-payers cannot be excluded from lighthouse beams or streetlights, private profit-seeking firms cannot collect revenue, necessitating state provision.
Q.12	(A)	Information asymmetry leads to adverse selection: buyers offer only average prices because they cannot distinguish quality, incentivizing sellers of high-quality goods to exit.
Q.13	(A)	The CCI enforces competition law: breaking up illicit price-fixing cartels, curbing monopolistic predatory behavior, and vetting mergers to safeguard consumer surplus.
Q.14	(A)	Lagged supply response ($S_t = f(P_{t-1})$) creates cyclical cobweb oscillations: high prices spur overplanting, resulting in harvest gluts, price collapses, and subsequent shortages.
Q.15	(A)	Monopsony is single-buyer dominance: an isolated sugar processing mill exercises buyer power over captive local sugarcane growers who have no other nearby processing outlets.
Q.16	(A)	Because the supply of unimproved land is perfectly inelastic ($E_s = 0$), landowners absorb the tax entirely without shifting economic output, creating zero excess burden or deadweight loss.
Q.17	(A)	Production substitutes compete for the same productive land: an increase in the relative profitability of soybean diverts acreage away from maize, reducing maize supply.
Q.18	(A)	Speculative manias decouple market prices from fundamental discounted cash flows, sustained by self-fulfilling momentum until liquidity contractions pop the bubble.
Q.19	(A)	Total Revenue Test: when $ E_d > 1$, percentage quantity expansion outstrips the percentage price drop, raising revenue; when inelastic, volume gains fail to offset price cuts.

Q. No.	Correct	Curricular Reference & In-Depth Conceptual Solution
Q.20	(A)	Menu costs encompass the friction of repricing: updating digital catalogues, printing price tags, adjusting contracts, and alienating customers, explaining price stickiness.
Q.21	(A)	Price caps ($P_{\text{cap}} < P_{\text{eq}}$) suppress legal supply while stoking demand; frustrated consumers with high reservation prices create lucrative profit margins for illicit black markets.
Q.22	(A)	Predatory bidding is anti-competitive: a well-capitalized processor overbids on raw inputs to starve competitors of supply, driving them to insolvency to monopolize output.
Q.23	(A)	A vertical demand curve ($E_d = 0$) demonstrates zero price sensitivity: consumers require an exact fixed quantity for physical survival and cannot adjust consumption.
Q.24	(A)	The Law of One Price: spatial arbitrage ensures that in efficient, integrated markets, price differentials between two cities cannot exceed the physical cost of transportation.
Q.25	(A)	Market equilibrium achieves allocative harmony: marginal social benefit equals marginal social cost ($MSB = MSC$), clearing markets and coordinating complex decentralized human cooperation.